Samsung Electronics Equity Research

Segmented SOTP led valuation | As of 10 October 2026

Conclusion. Samsung Electronics is best analysed as a portfolio of HBM and server-memory earnings, commodity-memory cycle risk, foundry execution risk and steadier DX, display and Harman cash flows. The base valuation is SOTP KRW 361,786 per share, 38.1% above the KRW 262,000 reference price. DCF is an upside cross-check, while RIM frames the capital-return downside.

Earnings snapshot

KRW tn	Q1 2026	Q2 2026	Q3 2026 prelim.
Revenue	133.9	171.5	195.0
Operating profit	57.2	89.5	107.4
Net profit	47.2	71.6	-
DS revenue	81.7	127.5	-
DS operating profit	53.7	89.2	-
Net cash	-	167.6	-

Q2 data are Samsung Electronics official earnings results. Q3 revenue and operating profit are preliminary figures reported on 7 October; detailed segment and cash-flow disclosure is pending the 29 October result release.

What matters

- Memory: HBM4 sales scaled in Q2 and HBM4E samples were shipped to major customers. Server DRAM, enterprise SSD and HBM demand are expected to remain strong, while supply stays constrained.
- Foundry: the valuation uses a deliberately low multiple because node utilisation, advanced-node yield and customer traction must improve before it is valued like TSMC.
- DX, Display and Harman: these are separated from DS to avoid treating the whole group as a memory pure play. They provide diversification but do not receive a blanket memory premium.

Valuation framework

Method	Value per share	Role in conclusion
SOTP	KRW 361,786	Primary; values disparate businesses separately
DCF	KRW 423,485	Long-term cash-flow cross-check; terminal-value sensitive
Segment PER	KRW 322,000	Segment-normalised earnings cross-check
RIM	KRW 172,663	Capital-return downside check
Reference price	KRW 262,000	10 October 2026 reference

SOTP assumptions: DS Memory EBIT KRW 250 tn is split into HBM 26% at 9.0x, server DRAM 34% at 7.0x, client/mobile DRAM 22% at 4.5x, NAND 14% at 3.0x and other memory 4% at 2.5x. This produces a 6.2x effective memory multiple. Foundry and SLSI use KRW 8 tn at 2.0x; DX KRW 20 tn at 8.0x; Display KRW 6 tn at 6.0x; Harman KRW 5 tn at 8.0x; net cash KRW 350 tn.

Peer discipline

Business	Peer	Reason for inclusion
Memory	SK hynix, Micron	Comparable HBM, DRAM and NAND price cycles; capex and inventory drive similar earnings volatility.
Foundry	TSMC	The clearest pure-play benchmark for utilisation, leading-node execution and capex intensity.
DX demand context	Apple, Xiaomi	Device demand and premium mix context only; not valuation comps for Samsung group EPS.
Display	LG Display	Closest listed display-panel supply-chain benchmark.

A whole-company peer average is intentionally excluded: no peer has Samsung’s mix of memory, foundry, devices, displays and automotive electronics.

Catalysts and risks

Catalysts	Risks
HBM4E qualification and stronger HBM mix	Memory ASP or bit-demand reversal
Tighter memory supply sustaining server pricing	Foundry yield, utilisation or customer-traction disappointment
3Q detailed results confirming cash conversion	US export restrictions and China demand weakness
DX margin resilience as premium mix improves	Terminal-value sensitivity in the DCF framework

Update protocol

On the 29 October 2026 detailed Q3 release, update actual revenue, operating profit, net profit, cash, debt, segment revenue/profit, HBM and DRAM/NAND commentary first. Then refresh the SOTP memory EBIT, DCF initial forecast year, RIM net income and book value, and the peer PER normalised EPS. The `Audit` sheet records whether detailed Q3 data are still pending.

Sources

Primary sources: Samsung Newsroom Q2 2026 Results (30 July 2026); Samsung Electronics Q2 2026 Earnings Presentation; Reuters Q3 2026 preliminary results (7 October 2026); Yahoo Finance 005930.KS price data (9 October 2026). Full URLs and direct source links are included in the repository README and model source sheet.